

BAJAJ FINANCE LIMITED

Research Analyst Rationale -
BAJFINANCE

Date: 08-04-2025

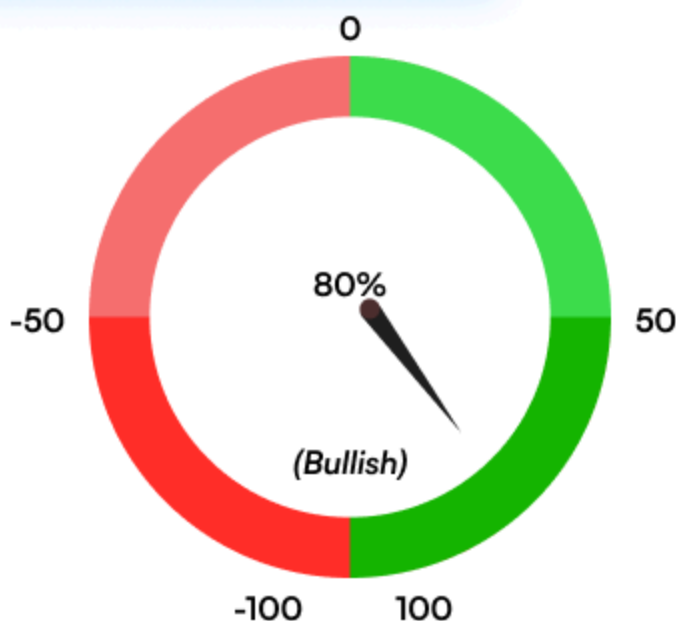
Signal: BUY

CMP: ₹8815.40 (+2.89% ▲)

Target: ₹9260.05

Stop Loss: ₹8375.70

Time Horizon: Short to Medium Term



Executive Summary

We recommend a **BUY** on **BAJFINANCE** based on consistent **bullish technical indicators** across multiple **timeframes**, **bullish breakout confirmation**, and **sustained price action** above key moving averages.

Technical Analysis

- Chart Analysis



- Key Technical Indicators

Trend: Bullish across daily and weekly timeframes with D Score at 71%, indicating strong bullish momentum.

Volume: 1145k, decreased by 18.13% compared to previous session but remains higher than 10-day average volume of 1332k.

RSI: Daily RSI at 55.76 (crossed above 50 in current session), Weekly RSI at 67.85 (bullish zone), Monthly RSI at 63.5 (bullish zone).

Moving Averages: Price remains above 50-day, 100-day, and 200-day MAs, confirming bullish trend alignment and uptrend.

Pattern Formation: Bullish breakout pattern (21.05% counter trend ratio), double top buy pattern formed, and engulfing pattern (bullish) on weekly candlestick chart.

Support/Resistance: S1: ₹8668.87 | S2: ₹8562.33 | R1: ₹8993.97 | R2: ₹9090.73

- Technical Observations

Stock gapped up by 0.90% today and continued upward momentum with a 2.89% gain, indicating strong buying interest.

Renko chart shows bullish brick on 3% chart with anchor bricks-bullish pattern, confirming upward momentum.

Bollinger Bands are rising with price trading above middle band (bullish), difference between bands at 10.55% showing healthy volatility.

Daily DMI position turned bullish with a bullish crossover, ADX reading at 21.5 confirms emerging trend strength.

Price is above middle Donchian channel (bullish) with bands flat, difference between bands at 12.77%.

Ichimoku analysis shows price above Ichimoku clouds with bullish cloud configuration, although Tenkan line went below Kijun line in current session (worth monitoring).

- Additional Technical Factors

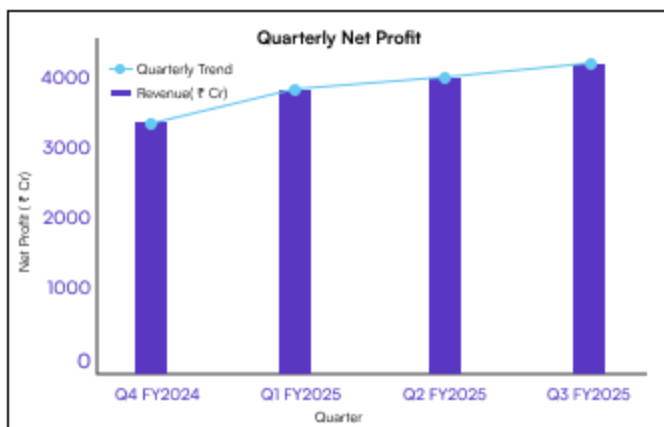
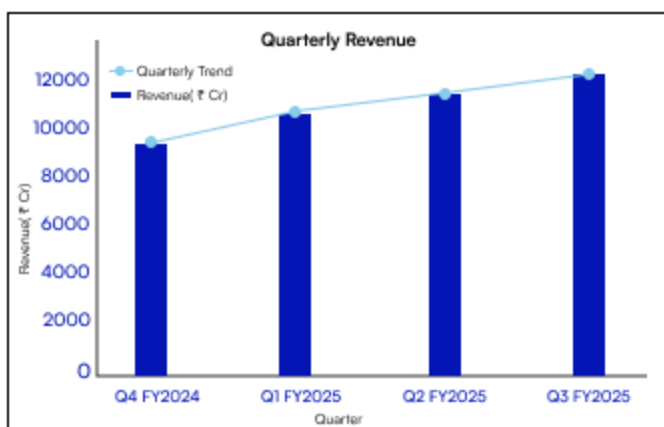
- ▶ *Today's candle type is a Demand candle with 77.22% body and 28.62% candle strength.*
- ▶ *Supertrend indicator is bullish with Brick Zone indicator confirming bullish sentiment.*
- ▶ *Multiple bullish patterns qualified on the 3% P&F chart including Double Top Buy, Multi-Column Breakout-Bullish, and Turtle Breakout-Bullish.*
- ▶ *Performance metrics show positive daily (2.89%) and weekly (1.11%) growth, with exceptional yearly performance at 29.2%.*

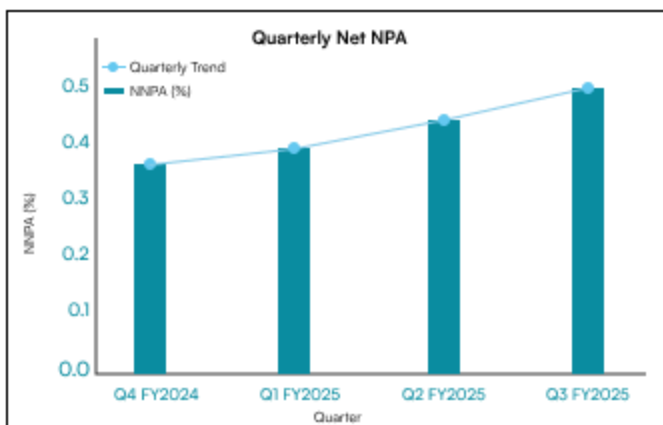
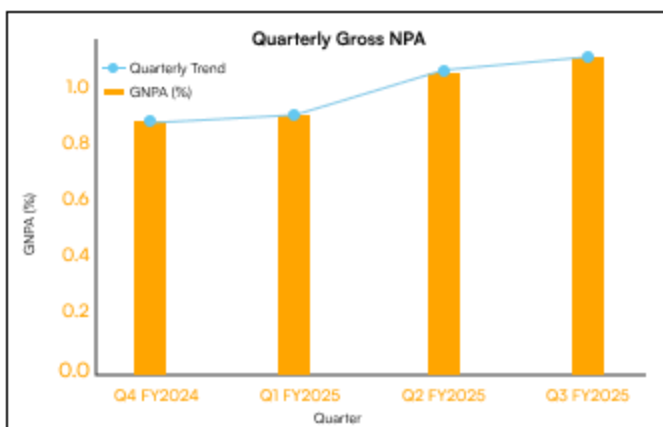
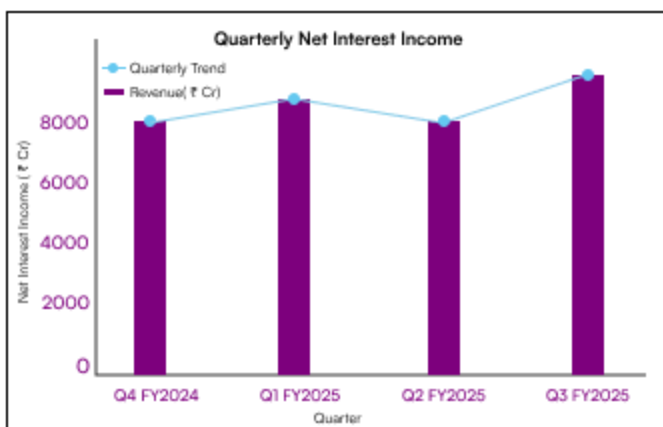
Fundamental Snapshot

- Key Metrics

Metric	Values
Market Capitalization (₹ Cr)	5,48,537
P/E Ratio (TTM)	34.3x
EPS (Earnings TTM) (₹)	259.8
Book Value per Share (₹)	1,402
Dividend Yield (%)	0.41%

Quarter Performance





Recent News & Developments

CLSA Reiterates Bajaj Finance as Top Pick with ₹11,000 Target

CLSA maintains "Outperform" rating on Bajaj Finance with ₹11,000 target, forecasting strong profit CAGR and easing asset quality concerns.

Sentiment:  Bullish: 90% |  Neutral: 10% |  Bearish: 0%

Bajaj Finance Shares Rise 2% After Robust Q4 Business Update

Q4 FY25 update shows 26% YoY AUM growth and a 36% jump in new loans, driving positive investor sentiment.

Sentiment:  Bullish: 70% |  Neutral: 30% |  Bearish: 0%

Bajaj Finance Q4 AUM Soars; RBI Flags Compliance Gaps

While Q4 metrics are strong, RBI scrutiny on co-branded credit card business tempers enthusiasm.

Sentiment:  Bullish: 50% |  Neutral: 20% |  Bearish: 30%

Bajaj Finance to Reissue ₹4,000 Cr Bonds Due in 2035

Plans to reissue long-term bonds to support asset-liability management and credit growth.

Sentiment:  Bullish: 20% |  Neutral: 80% |  Bearish: 0%

Bajaj Finance Raises ₹5,990 Cr via NCDs

Successfully raises nearly ₹6,000 crore through unsecured NCDs for expansion funding.

Sentiment:  Bullish: 10% |  Neutral: 90% |  Bearish: 0%

Risk Assessment

- ▶ *If price falls below ₹8375.70, the bullish view would be invalidated.*
- ▶ *Monthly and Quarterly performance showing slight decline of -1.68%, which needs monitoring despite overall bullish trend.*
- ▶ *Potential sector-wide regulatory changes could impact NBFC stocks.*
- ▶ *Volatility is high with ATR% at 2.77% and 20-day average at 2.52%, which might lead to sharp price movements.*

Seasonality & Historical Context

Average return in month of April: 3.01% (historically positive)

Current performance aligns with typical April seasonality with 83.33% average success ratio.

Stock is outperforming Nifty 50 benchmark in daily and weekly timeframes ("Flying" pattern in daily and "Lion" pattern in weekly).

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